BENTONVILLE, ARKANSAS

KARST

Comparable Concepts Research

407–409 SE F St — SE Market District

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Confidential

Comparable Wellness Concepts — Revenue Benchmarking Research

> *Verified research brief for the Bentonville Wellness Center concept. Supports business model development and investor/partner conversations.*
>
> *Research conducted: 2026-02-25. Pricing data should be re-verified before any investor presentation.*

Executive Summary

The premium thermal/social wellness category is in a sustained growth phase nationally, validated by multiple well-capitalized concepts expanding rapidly from coastal to secondary markets. Key benchmarks:

- **Membership ceiling (premium):** $200-350+/month (Equinox, SALT Health medical tier)
- **Day pass range (thermal):** $45-65 USD per session (Othership, Bathhouse, Sauna House)
- **Annual revenue potential (small format, 3-5K sqft):** $4M-21M (Othership benchmarks)
- **Construction cost (wellness adaptive reuse, NWA):** $250-500/sqft depending on finish level
- **Global wellness market:** $6.8T in 2024, projected $9.8T by 2029 at 7.6% CAGR
- **Thermal/mineral springs sub-segment:** $71.7B, growing at 10% annually

Local competitive gap confirmed: Neither BlakeSt. nor SALT Health serve the communal, multi-modality, experience-first segment. Significant whitespace at the intersection of movement + thermal recovery + community + content.

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1. Othership (Toronto)

Category: Social thermal wellness / guided breathwork experience **Status:** Expanding to NYC; raised $20.6M total

Pricing Tiers

PRODUCT	PRICE (CAD)
Single drop-in	$55
Intro: 2 visits	$55 (30-day expiry)
Intro: 7 days unlimited	$55
Unlimited monthly membership	$244/month
Corporate partnership (Visa)	$72/month (2 visits)
Credit packs	Discounted bulk

USD equivalent at ~0.73 rate: single drop-in ~$40, membership ~$178/month

Size & Capacity

LOCATION	SIZE	SAUNA CAPACITY
Adelaide St. W (original)	3,000 sq ft	36 persons; ~50 max venue
Bloor St. W / Yorkville (flagship)	5,000 sq ft	90-person performance sauna

Revenue Model

- **Primary:** Monthly recurring subscriptions + a-la-carte drop-ins
- **Secondary:** Introductory offers designed for conversion, corporate wellness memberships
- **Digital:** Breathwork app ($100K+ revenue with minimal marketing spend)
- **Reported annual revenue run rate:** ~$21.3M
- **Funding history:** $1.3M seed → $8M Series A (Jan 2023) → $11.3M Series A extension (May 2024) = $20.6M total

What Makes Them Unique

1. **Guided "Journeys":** Sessions are led by expert guides who combine Aufguss towel-waving, breathwork, vocalization, DJ-curated music, and atmospheric lighting. Not just a sauna — an emotional, state-shifting experience.
2. **Alcohol-free social commons:** Explicitly positioned as a healthy alternative to bar culture. Lounge areas with fireplaces, tea service, and intentional social design.

3. **Extreme heat + precision cold:** 185-190°F saunas with “aromatic snowballs” (humid, experiential heat), ice baths held at 32-40°F.
4. **Hybrid physical/digital model:** App extends the brand and generates recurring digital revenue independently of physical visits.

Relevance to Bentonville concept: Most directly analogous model. Proves guided experience + community + digital content is the monetization formula. Small-format but high revenue per sqft.

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2. Sauna House (Asheville, NC — national expansion)

Category: Communal Nordic spa / franchise model **Status:** Inc. 5000 #838 (2024), active franchising; 9+ locations nationally

Locations (as of early 2026)

Asheville NC (original), Durham NC, Raleigh NC, Charlotte NC, Greenville SC, Knoxville TN, Austin TX, Bonita Springs FL, Summerville SC

Facility Size

LOCATION	SIZE
Raleigh, NC	8,500 sq ft
Durham, NC	~6,900 sq ft
Greenville, SC	6,700 sq ft

Pricing

PRODUCT	PRICE
Communal bathhouse (2 hours)	$45-$59
Member additional visits	~$35
Founding Massage Membership (pre-launch example)	Includes 1 x 60-min massage + 3 bathhouse visits
Member perks	15% off retail/beverages, $10 off guest entries

Revenue Streams

1. Recurring memberships (predictable baseline)
2. Day passes (high-margin drop-ins)
3. Massage and private suite bookings
4. Retail merchandise and wellness products
5. F&B (beverages, health-focused offerings)

What Makes Them Unique

- Strong franchising engine — rapid national expansion without full corporate capex
- “Give-back” brand identity: pledged $580K+/year to environmental causes by 2027
- Positioned as community bathhouse, not luxury spa — accessible premium, not aspirational luxury

Relevance: Proves the model works in mid-size secondary markets (Asheville, Knoxville) at the exact scale relevant for Bentonville. Franchise expansion validates demand is national, not just coastal.

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3. BlakeSt. (Bentonville, AR) — LOCAL COMPETITOR

Category: Private social fitness + spa club **Status:** Operating in Bentonville

Overview

BlakeSt. is a curated private social and fitness club (21+) combining a historic farmhouse aesthetic with modern amenities. Focused on community, fitness, and lifestyle — but not positioned as a recovery or thermal wellness destination.

Size

~21,380 sq ft (historic farmhouse + modern addition)

Offerings

- 100-foot heated ozone lap pool (year-round)
- Cold plunge + hot tub
- Steam rooms in locker facilities
- Full gym + group fitness classes
- On-site restaurant/lounge
- LotSeven Spa (treatments at additional cost)

Pricing

TIER	MONTHLY	ANNUAL
House Member	$255/mo	$2,754/yr
Under 30 Member	$155/mo	$1,674/yr
Out-of-Town Member (100+ miles, 10 visits/mo max)	$155/mo	$1,674/yr
Initiation fee	$1,000 (with $500 returned as gift card)	—

Gap vs. Proposed Concept

BlakeSt. is a fitness club with spa amenities — not a thermal wellness destination. No guided experiences, no communal sauna culture, no contrast therapy at scale. Their positioning is “private club exclusivity” not “health optimization community.” Different segment; minimal overlap with the communal, therapeutic thermal wellness concept.

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4. SALT Health (Bentonville, NWA) — LOCAL COMPETITOR

Category: Direct Primary Care + integrative medicine + spa/fitness hybrid **Status:** Operating in Bentonville area

Overview

SALT Health operates on a DPC (Direct Primary Care) / Integrative Functional Medicine model — bypassing traditional insurance, offering 24/7 physician access with a luxury spa and fitness facility attached. Medical-first positioning.

Size

~12,300 sq ft

Offerings

- 24/7 physician access (text, call, virtual, in-person)
- Routine labs, X-rays, EKGs, office procedures
- Infrared sauna, steam sauna, cold plunge shower, eucalyptus inhalation room

- Premium fitness equipment + group classes
- Functional medicine root-cause approach

Pricing

TIER	MONTHLY	ANNUAL
Individual Medical	$349/mo	$3,999/yr
Individual + Child	$419/mo	$4,899/yr
Individual + Spouse	$629/mo	$7,299/yr
Family	$699/mo	$8,099/yr
Spa + Fitness Only	$149/mo	—
Integration/initiation fee	$300-500 (waived if annual)	—

Capacity limited by physician availability — operates waitlist model.

Gap vs. Proposed Concept

SALT Health is a clinical membership model. The $349/month medical member is buying physician access + health management, not community + experience + thermal culture. The $149 spa-only tier is the most directly competitive but is positioned as a clinical facility add-on, not a destination experience. Minimal experiential or community overlap.

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5. Therme Group (Global / US Expansion)

Category: Mega-scale urban thermal wellness resort **Status:** Private, ~$591M raised; entering US market (Dallas first)

Scale

- Standard footprint: 450,000-500,000 sq ft (indoor) + several acres outdoor
- Daily capacity: up to 10,000 visitors (Therme Bucharest)
- Annual visitors: ~3.5M across Erding + Bucharest flagships

Pricing Model

Timed access (not all-day unlimited): | Product | Price | |———|——-| | Therme Erding full-day | ~€54 (~$58 USD) | | Therme Bucharest 3-hour weekday | ~71 lei (~$15 USD) | | Time extensions | Automatic overage charge | | Premium zones (adult-only spa) | Upcharge on base admission |

Revenue Streams

1. Admission fees (primary driver, highly optimized via timed blocks)
2. F&B: estimated 30-35% of total revenue (insourced operations)
3. Ancillary: towel/robe rental, spa treatments, premium add-ons

US Expansion

- Joint venture with The Georgetown Company
- $1.5B investment pipeline for US rollout
- 10 US resorts planned over next decade
- Confirmed: Dallas (Cedars neighborhood) and Washington DC (Poplar Point)

Relevance to Bentonville concept: Different scale entirely — this is a destination resort, not a community wellness space. Useful as a ceiling benchmark for thermal wellness category size and as a “rising tide” signal. Their US expansion validates the category nationally.

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6. Equinox (National Benchmark)

Category: Premium fitness + lifestyle brand **Revenue:** ~$1B+ annually (pre-pandemic); 27% YoY growth in 2023

Membership Pricing (2024-2025)

TIER	MONTHLY
Single Club Access	$198-$280
All-Access (multi-club)	$260-$400
Destination Access (premium locations)	$345-$395+
Initiation fee	$100-$500 (often waived in promos)

12-month commitment standard.

Revenue Streams

1. Fitness memberships (core)
2. Personal training
3. Spa (within clubs)
4. Retail
5. Equinox Hotels (~$940-$965 avg nightly rate; suites to $13,000+)
6. Equinox+ (streaming fitness content — $40/month standalone)

Relevance: The premium fitness pricing ceiling benchmark. Equinox proves a wealthy metro market supports $300-400/month wellness membership spend. Also proves the media/content integration thesis (Equinox+ as digital revenue layer).

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7. Notable Comparable Concepts — National

Bathhouse (Brooklyn, NY)

PRODUCT	PRICE
Weekday day pass	$50
Weekend day pass	$65
Early Bird / Night Owl pass	$40
Membership (3 passes/mo)	$145/month
Membership (5 passes/mo)	$225/month
Massage (includes day pass)	From $180
Scrub (includes day pass)	$115

What makes it unique: Blends athletic recovery (contrast therapy, Aufguss events) with a buzzing social atmosphere and full restaurant/bar. Variety of modalities in one space: Russian Banya, tropical saunas, multiple temperature-calibrated plunges. Explicitly appeals to both the recovery athlete and the social wellness crowd.

Aire Ancient Baths (NYC, Chicago)

PRODUCT	PRICE
90-min Ancient Thermal Bath	~$103
Individual massage ritual (45-60 min)	$210-$290
Couples packages	$490-$660+

What makes it unique: Ultra-luxury, silence-mandatory, candlelit experience in restored historic buildings (former Tribeca textile factory). Greco-Roman/Ottoman traditions: saltwater pools, flotariums, antioxidant-rich treatments (e.g., red wine soaks). High-ticket, low-volume, maximum atmosphere.

Löyly (Helsinki, Finland)

PRODUCT	PRICE
2-hour public sauna	€27 (~$29 USD)
Extra hour	€12
Private sauna (up to 10 guests)	€350-€600 / 2 hours

What makes it unique: Authentic Nordic architecture (award-winning slatted wood exterior on Baltic Sea waterfront) combined with direct sea access for cold plunging — including ice holes in winter. Smoke sauna is a rarity in urban environments. Globally recognized as the standard-bearer for what social sauna culture looks like done right.

Relevance: Not a direct competitor but a design and culture reference point. If the Bentonville concept draws on authentic thermal wellness traditions, Löyly is the visual/experiential north star.

Ten Thousand Waves (Santa Fe, NM)

PRODUCT	PRICE
Community soaking (90 min)	$64
Private hot tub suite (per person, 90 min)	$87
Massage/facial (50 min)	$117-$205+
Multi-treatment packages	$250-$500+
Lodging (includes bath access)	$209-$299+/night

What makes it unique: Immersive Japanese onsen aesthetic in New Mexico piñon pines. Deep privacy (extensive private outdoor suite network) + authentic Japanese treatments + Izakaya restaurant. Destination retreat model.

WorldSprings (Dallas, TX — expanding)

- Engineered mineral pools mimicking global hot spring compositions (Dead Sea, Blue Lagoon, etc.)
- Day passes with optional private cabana rental from $199
- Urban accessibility model — bringing hot spring experience to cities without natural springs
- Village of Finnish saunas integrated into the concept

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8. Construction Cost Benchmarks

NWA / Bentonville New Commercial Construction (2024-2025)

TYPE	COST/SQFT
Single-story office	$238-$286
Retail / mall-type	$245-$439
Standard hotels	$175-$390

Adaptive Reuse vs. New Construction

- Adaptive reuse typically saves **15-30%** vs. ground-up in NWA
- Savings from: preserving core/shell, reduced demolition, faster timeline (up to 30% faster)

- NWA cost advantage vs. coastal markets: approximately **15-25% lower** due to labor market differences

Wellness-Specific Build-Out Costs

(Wellness requires specialized plumbing, ventilation, humidity control, acoustic treatment, high electrical loads for saunas/hydrotherapy)

CATEGORY	HARD COST/SQFT
Med spa / basic wellness (from empty shell)	$90-$130
Luxury spa (premium finishes)	$200-$450
Specialized luxury hotel spa build-out	$500-$800+
Mixed-use wellness adaptive reuse (broad range)	$200-$800+
Prime urban or heavy structural modification	$1,000+

Important: Hard costs only. Soft costs (architecture, engineering, permits) add approximately 20-25% to these figures. FF&E (furniture, fixtures, equipment) is additional.

Estimated Range for Bentonville Project (30,000-40,000 sqft warehouse adaptive reuse)

SCENARIO	COST/SQFT	TOTAL ESTIMATE
Conservative (moderate finishes, adaptive reuse)	$250-$300	$7.5M-$12M
Mid (premium wellness finishes, thermal infrastructure)	$350-$450	$10.5M-$18M
High (full luxury build, extensive structural work)	$500-$600	$15M-$24M

These are rough order-of-magnitude figures. A site-specific feasibility study is required before any capital commitment.

9. Global Wellness Market Data

Market Size

METRIC	VALUE	SOURCE
Global wellness economy (2024)	$6.8 trillion	Global Wellness Institute
Projected size (2029)	$9.8 trillion	Global Wellness Institute
CAGR (2024-2029)	7.6%	Global Wellness Institute
Consumer wellness market (McKinsey scope)	$1.8 trillion	McKinsey 2024 Future of Wellness

Thermal & Social Bathing Sub-Segment

METRIC	VALUE	SOURCE
Thermal/mineral springs market (2024)	$71.7 billion	Global Wellness Institute
Number of establishments globally	31,000+	Global Wellness Institute
Annual growth rate (2023-2024)	11.1%	Global Wellness Institute
Projected CAGR through 2029	~10%	Global Wellness Institute

Consumer Behavior Signals (McKinsey 2024)

- **Social bathing** explicitly named as a significant global consumer trend
- Driven heavily by Millennial and Gen Z demographics — “wellness market getting a generational glow-up”
- Hotels and resorts accelerating integration of social bathing as community-building differentiator
- Urban bathhouses positioning as the third place — not home, not work, but a healthy social anchor

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10. Revenue Model Comparison Matrix

CONCEPT	DAY PASS	MEMBERSHIP	F&B	TREATMENTS	DIGITAL	EST. ANNUAL REV
Othership (5K sqft)	$40 USD	$178/mo	—	—	App	~$21.3M est.
Sauna House (7-8K sqft)	$45-59	Tiered	Beverages	Massage	—	Not disclosed
Bathhouse Brooklyn	$50-65	$145-225/mo	Full restaurant	$115-180	—	Not disclosed
Aire Ancient Baths	$103	None	—	$210-290	—	Not disclosed
BlakeSt. (local)	N/A (member-only)	$155-255/mo	Restaurant	LotSeven Spa	—	Not disclosed
SALT Health (local)	N/A	$149-699/mo	—	Medical	—	Not disclosed
Equinox	N/A	$198-395/mo	—	In-club spa	Eq+ $40/mo	~$1B+ (est.)

11. Key Benchmark Takeaways

For the Bentonville concept pitch:

1. **Day pass pricing:** $50-65 is the validated market rate for premium thermal wellness day access in US urban markets. $45 is the accessible entry; $65+ is premium positioning. NWA market may support $55-65 given the income demographics.
2. **Membership pricing:** $150-250/month is the thermal wellness sweet spot. SALT Health proves NWA absorbs $349/month for medical membership — strong signal that the market can bear $175-225/month for a premium communal wellness experience.
3. **Digital as a multiplier:** Othership's app generating $100K+ with minimal spend validates the content/media layer as a real revenue stream, not just a brand play. Important for the Cipher integration thesis.

4. **F&B as a material revenue stream:** Therme Group earns 30-35% of revenue from F&B. Bathhouse built a full restaurant into the model. Any serious wellness center concept should include a food/beverage component as a revenue stream, not an amenity.
5. **Adaptive reuse saves 15-30%** vs. new construction in NWA — the warehouse site at 407-409 SE F St has a structural cost advantage if the bones support the thermal infrastructure requirements.
6. **Whitespace confirmed:** No concept in NWA currently combines communal thermal wellness + guided experiences + movement + community programming + content production. BlakeSt. and SALT Health occupy adjacent but non-overlapping segments.

Research brief prepared by Scout. Sources: Gemini web research, Global Wellness Institute data, company websites and press releases. Data as of 2026-02-25. Pricing data subject to change — verify before use in investor materials.